

Politburo meeting shows rising concern about slow growth

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【メール原文】

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Quick take

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What Happened

On 30 July, a meeting of the Politburo of the Chinese Communist Party (CCP) demonstrated incrementally increased focus on the slowing economy, foreign concerns about China's trade surplus, and the importance of stable financial markets. The Politburo also scheduled the Fifth Plenum, which will focus on party discipline, for October 2026.

Our Take

Focus on economic headwinds increases, but policy response will be incremental. Leaders see growth at risk of falling below target in the second half, as new-economy sectors such as AI fail to offset the slowdown in traditional industries. The call to "speed up" the shift from old to new drivers and to "better make use of" fiscal and monetary tools points to a faster rollout and fuller implementation of measures already announced, rather than to any major new stimulus. That approach is less forceful than the September 2024 easing pivot, when the Politburo explicitly referenced interest-rate cuts and steps to stabilize the capital and housing markets in its readout. The lack of specificity shows Beijing is postponing additional measures while calling for the development of new tools.

Officials continue to prioritize risk containment over near-term growth. Externally, leaders appear more sensitive to partner pushback on China's trade imbalances, creating some room for negotiation—for example, with the EU. Acknowledgment, however, does not imply policy adjustment. Domestically, the Politburo frames challenges posed by the property sector, local government debt, and smaller financial institutions as structural risks to manage over time rather than problems to solve quickly. At the same time, officials expect measures to clear corporate payment arrears, curb involution (destructive competition), and improve national market unity to reduce local protectionism and improve corporate profitability. The key test is whether tighter discipline and competition policy can lift confidence, particularly that of stock market investors, in the absence of more support for near-term growth.

Supply side comes first, with consumption an afterthought. While the readout again cites "effectively expanding domestic demand," existing policy instruments favor investment: planning for "six networks"

(water supply, power grids, computing power, communications, urban pipelines, and logistics) and supporting AI governance and deployment in line with 15th Five-Year Plan directives. Beijing also signaled more support for long-term R&D in “future industries,” including quantum computing and other frontier technologies. Meanwhile, the readout suggested household consumption policy in the second half of 2026 is likely to be incremental and supply-focused, which represented a shift from Central Economic Work Conference language in December 2025 that focused on raising household incomes to boost consumption (see: Confident policymakers will avoid consumption policy shift at Politburo meeting , 27 July 2026).

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